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The Effect of Advisors' Incentives on Clients' Investments

Contents

1 Big picture

- **Question.** How much do financial advisors' compensation incentives affect the portfolio choices of their clients?
- **Institutional setting.** The paper studies a medium-sized Spanish investment firm that sells its own mutual funds through a network of long-term financial advisors.
- **Key data advantage.** The authors observe granular client-fund-month holdings and flows, advisor identities, fund management fees, and advisor-level trailer fees. This directly links an advisor's compensation from a fund to the client's investment in that fund.
- **Policy shock.** The 2018 implementation of MiFID II induced the firm to equalize commissions across advisors and across funds. Because fund management fees continued to differ, trailer fees changed differently across advisor-fund pairs.
- **Identification strategy.** The paper uses a generalized differences-in-differences-in-differences design that compares changes across clients, funds, and months while absorbing client-time, fund-time, and client-fund fixed effects.
- **Main result for existing clients.** A 10% increase in an advisor's trailer fee from a fund raises the client's investment stock in that fund by about 4.6%.
- **Mechanism.** Advisors respond mostly when clients bring new money to the firm. They channel new inflows toward higher-incentive funds, but do not substantially reallocate existing holdings or direct withdrawals in the same way.
- **New-client result.** The effect is much larger for new clients: the elasticity of initial investment with respect to trailer fees is about 149%, roughly three times the existing-client elasticity.
- **Advisor effort margins.** Advisors facing larger changes in their incentive structure induce more inflows from existing clients and attract more new clients.
- **Portfolio efficiency.** After the 2018 policy, new clients' portfolios have higher Sharpe ratios, lower average fund fees, and lower concentration. This indicates that more balanced advisor incentives improve portfolio efficiency.
- **Policy takeaway.** Regulating advisors' compensation can change client portfolios even within existing advisor-client relationships. The effect is strongest at moments when the advisor has the most influence: new money and new clients.

2 Data and measurement

2.1 Firm, clients, funds, and advisors

- The data come from the internal administrative records of a Spanish investment firm between 2015 and 2020.
- The firm offers a set of actively managed internal mutual funds. Each fund has a management fee paid by clients.
- Financial advisors maintain exclusive relationships with clients and receive trailer fees from the funds in which their clients invest.
- The baseline panel is at the client-fund-month level and contains more than 3.6 million observations.
- The client sample includes 6,132 clients. The advisor sample includes 166 advisors.

Interpretation: The paper is powerful because it observes the exact compensation wedge at the level at which advice occurs: advisor-fund-client-month. Most prior papers observe fund loads, broker channels, or portfolio outcomes but not the advisor's actual compensation contract.

2.2 Trailer fees

The trailer fee paid to advisor a from fund j in month t is conceptually

$$\text{TrailerFee}_{ajt} = \text{FundManagementFee}_j \times \text{Commission}_{ajt}. \tag{1}$$

- Fund management fees are fixed across clients and over time.
- Advisor commissions historically differed across advisors and funds.
- After the MiFID II-induced change in January 2018, commissions were made more uniform.
- Because fund management fees remained different, trailer fees did not become identical across funds.

Interpretation: The policy shock changes advisor incentives without mechanically changing the client's expected fund returns in the same way. This is what allows the paper to distinguish advisor incentive effects from direct fund-performance effects.

2.3 Client investment outcomes

The main outcomes are:

- **Investment stock:** the inverse hyperbolic sine transformation of the client's average investment in fund j during a month or quarter.
- **Positive investment dummy:** whether the client holds a positive amount in the fund.
- **Share of total investment:** the share of the client's portfolio at the firm allocated to the fund.
- **Investment flows:** incoming flows, outgoing flows, reallocations, and net inflows.

Interpretation: The stock variables capture where the client's portfolio ends up. The flow variables reveal how the adjustment occurs. The paper's central mechanism comes from comparing these two classes of outcomes.

2.4 Existing clients versus new clients

- Existing clients are active before and after the 2018 compensation change.
- New clients enter the firm after the policy change.
- Existing clients already have portfolios, history with advisors, and possibly switching costs.
- New clients bring new money and make an initial allocation decision.

Interpretation: The distinction matters because advisors have more discretion at the initial allocation stage than when changing an existing client's established portfolio. This is why new-client elasticities are much larger.

2.5 Advisor-level incentive shocks

The paper constructs two advisor-level measures of the 2018 compensation shock:

- **Average fee increase:** the average change in trailer fees across funds for an advisor.
- **Standard deviation of fee changes:** the dispersion of changes across funds for an advisor.

Interpretation: The average change captures whether the advisor is generally paid more or less after the policy. The standard deviation captures whether the advisor's relative ranking of preferred funds changes sharply. The latter is more relevant for advising clients to bring new money and place it in newly high-incentive funds.

2.6 Portfolio efficiency measures

- Portfolio efficiency is measured using Sharpe ratios for internal-fund portfolios and overall portfolios.
- The paper uses the same pre-2018 return and covariance matrix to evaluate all portfolios, so changes in Sharpe ratios reflect changes in holdings rather than realized performance noise.
- The paper also reports average percentage fees and Herfindahl concentration indices.

Interpretation: A higher Sharpe ratio can come from lower fees, better risk-return fund selection, or better diversification. The paper's fee and Herfindahl results indicate that lower costs and diversification are important mechanisms.

3 Models and empirical specifications

3.1 Existing-client baseline DiDiD specification

The main existing-client regression is

$$Investment_{cjt} = \lambda \log(\text{TrailerFee}_{a(c)jt}) + \eta_{ct} + \kappa_{jt} + \mu_{cj} + \varepsilon_{cjt}. \tag{2}$$

- c indexes clients, j funds, t months, and $a(c)$ the client's advisor.
- η_{ct} are client-month fixed effects.
- κ_{jt} are fund-month fixed effects.
- μ_{cj} are client-fund fixed effects.

Interpretation: This is a demanding specification. Client-month fixed effects absorb any time-varying client-level shock, fund-month fixed effects absorb any time-varying fund-level shock, and client-fund fixed effects absorb stable client preferences for particular funds. The coefficient is identified from within-client-fund changes in advisor incentives generated by the 2018 reform.

3.2 Dynamic event-study specification

The dynamic specification is

$$Investment_{cfq} = \sum_q \pi_q \left(\text{SHOCK}_{a(c)f} \times Quarter_q\right) + \eta_{cq} + \kappa_{fq} + \mu_{cf} + \epsilon_{cfq}, \tag{3}$$

where

$$\text{SHOCK}_{a(c)f} = \log(\text{Post18TrailerFee}_f) - \log(\text{Pre18TrailerFee}_{a(c)f}). \tag{4}$$

Interpretation: This specification tests two things. First, pre-period coefficients test whether advisor-fund pairs with larger incentive changes were already trending differently. Second, post-period coefficients show the timing of adjustment: whether clients move immediately or gradually toward funds that become more attractive to advisors.

3.3 New-client initial allocation specification

For new clients, the initial allocation equation is

$$Investment_{cj} = \phi \text{TrailerFee}_{a(c)jt(c)} + \beta_c + \kappa_{jt(c)} + \iota_{a(c)j} + \omega_{cj}. \tag{5}$$

- $t(c)$ is the month when client c joins.
- Client fixed effects compare funds within the same new client's initial portfolio.
- Fund-time fixed effects absorb fund-level conditions at the entry date.
- Advisor-fund fixed effects absorb persistent advisor-fund tendencies.

Interpretation: This regression asks whether, at the moment of entry, advisors steer new clients toward funds that pay the advisor more. The effect is expected to be larger than for existing clients because the advisor is constructing the portfolio from scratch.

3.4 Advisor-level new-money specification

For existing clients' total inflows, the paper estimates

$$Investment_{ct} = \phi(Increase_{a(c)} \times \mathrm{Post}_t) + \pi(SD_{a(c)} \times \mathrm{Post}_t) + \beta_c + \kappa_t + \omega_{ct}. \tag{6}$$

Interpretation: The standard deviation of fee changes matters because it captures how much the advisor's relative fund incentives have been reshuffled. If advisors react to the new ranking of incentives, they should try to persuade existing clients to bring in new money that can be placed in newly preferred funds.

3.5 Advisor-level client acquisition and exit

For advisor-month outcomes, the regression is

$$Clients_{at} = \phi(Increase_a \times \mathrm{Post}_t) + \pi(SD_a \times \mathrm{Post}_t) + \beta_a + \kappa_t + \omega_{at}. \tag{7}$$

Interpretation: This specification asks whether compensation shocks change the advisor's effort to attract or retain clients. A positive relation between SD_a and incoming clients indicates that advisors respond not only through within-client portfolio advice but also through client acquisition effort.

3.6 Portfolio efficiency tests

The paper compares portfolio Sharpe ratios, percentage fees, and Herfindahl indices before and after 2018 for new and existing clients.

Interpretation: This is not the main causal design. It is an outcome assessment: after incentives become more balanced, do portfolios become more efficient? The paper finds the strongest improvements among new clients, consistent with the earlier evidence that advisors have the largest influence at initial allocation.

4 Identification and empirical design

4.1 Why MiFID II creates useful variation

- MiFID II prompted the firm to adopt a standardized compensation policy in January 2018.
- Before 2018, commissions differed across advisors and funds for historical reasons.
- After 2018, commissions became more uniform, but management fees remained different across funds.
- The result is advisor-fund-specific variation in how trailer fees changed.

Interpretation: The policy shock is useful because it changes advisor incentives in a way that is not chosen by individual advisors or clients at the time of the change.

4.2 What the fixed effects do

- Client-time fixed effects remove client-level shocks such as wealth, risk appetite, or attention in a given month.
- Fund-time fixed effects remove fund-level shocks such as returns, advertising, or broad demand.
- Client-fund fixed effects remove stable client-fund preferences.
- Advisor-fund fixed effects in the new-client regressions remove persistent advisor preferences for particular funds.

Interpretation: The design compares how the same client changes allocation across funds when the same advisor's incentives for those funds change, while also comparing those changes to fund-time and client-time shocks.

4.3 Pretrend tests

The dynamic specifications estimate leads and lags around the 2018 policy change.

- Stock outcomes have broadly flat pretrends.
- Flow outcomes show some visual pretrend in certain panels, but formal tests reported with Table III do not reject parallel pretrends.
- Post-period coefficients move quickly after the policy and then accumulate into stock adjustments.

Interpretation: The event studies support the claim that the 2018 policy change, not preexisting advisor-fund trends, generated the observed reallocation.

4.4 Mechanism discipline

The paper does not stop at a single elasticity. It checks which flows move:

- Incoming flows move toward higher-incentive funds.
- Outgoing flows do not show the same pattern.
- Reallocations across existing funds are weak.
- New clients respond more strongly than existing clients.
- Advisors with larger incentive-dispersion shocks attract more new clients.

Interpretation: These mechanism tests make the causal story more precise: advisors influence clients most when money is entering the firm or when a new relationship begins.

4.5 External validity and limitations

- The data come from one medium-sized Spanish investment firm.
- Advisors' pay appears relatively low, suggesting some may have other income sources.
- The study observes investment at the focal firm, but cannot fully observe clients' outside financial portfolios over time.
- The 2018 policy reduced incentive conflicts but did not eliminate them, because fund management fees remained different.
- Portfolio efficiency is evaluated using Sharpe ratios and fees, not a full preference-based utility model in the main text.

Interpretation: These caveats limit external validity but do not undermine the paper's central contribution: direct micro evidence that advisor compensation changes client portfolios.

5 Tables and figures

5.1 Table I and Figure 1: sample, client wealth, advisor compensation, and baseline observations

Read:

- Table I describes the client, advisor, and client-fund-month samples.
- The client sample has 6,132 clients, and the advisor sample has 166 advisors.
- Clients are relatively wealthy: mean gross wealth is about 504,605 euros, and the mean investment with the firm is about 102,062 euros.
- Panel C shows that average advisor annual compensation from the firm is about 39,227 euros, with substantial dispersion.
- Panel D shows the baseline client-fund-month data set has more than 3.6 million observations. Only 19% of client-fund-month pairs have positive investment, so the allocation problem is sparse.
- The average trailer fee is 0.97%, with meaningful variation across fund-advisor pairs.
- Figure 1 shows the distribution of advisor annual pay. Most advisors are not earning extremely high compensation from this firm alone.

Interpretation: Table I establishes both the richness and the limits of the setting. The data are granular enough to observe client-fund-month behavior, but the firm is not the entire financial universe of the client. The sparse investment pattern in Panel D is important: advisors are not just adjusting amounts in funds already held; they can influence whether a client participates in a given fund at all.

Economic message: The sample is ideal for studying advice because the advisor-client relationship is exclusive and the firm records each fund position. The downside is external validity: these clients and advisors may differ from retail investors in other countries or firms.

What not to over-read: Do not interpret the low average advisor pay as the advisor's total household income or total labor-market compensation. The firm may be only one part of an advisor's broader financial activity.

Table I

Summary Statistics

This table displays summary statistics for the clients (Panel A), Spanish fund investors (Panel B), advisors (Panel C), and observations in the baseline client-fund-month data set (Panel D). The last column displays the proportion of observations for which the variable is nonmissing. *Financial Education Dummy* is constructed on the basis of the questionnaire that clients have to fill as part of MiFID II. There are four possible answers: (a) *No university education*, (b) *University education that is not related to maths or economics*, (c) *University education related to maths or economics*, and (d) *Education that is specific to financial markets and investment funds*. The variable takes the value of one if the client answered (c) or (d). *Financial Profession Dummy* captures whether the client "*works or has worked in a profession related to the financial markets*." There are four possible answers: (a) *I have never worked in a profession related to the financial markets*, (b) *I have a job that, occasionally, is related to the financial markets*, (c) *I have had a job that is related to the financial markets*, and (d) *I have a job that is related to the financial markets*. The variable takes the value of one if the client answered (c) or (d). *Financial Knowledge Dummy* is constructed on the basis of the question investigating whether the client is familiar with the "*nature, characteristics, and risks associated with investment funds*." The question specifically asks about the "*degree of knowledge regarding the risks of the solicited products*." There are four possible answers: (a) *I do not understand any of the terms*, (b) *I understand some of the terms and their descriptions*, (c) *I understand all the terms and their general functioning*, and (d) *I understand all the terms and their functioning in detail*. The variable takes the value of one if the client answered (c) or (d). *High Income Dummy* is constructed on the basis of the questionnaire that clients have to fill as part of MiFID II. Clients are asked to report which bracket their income falls into: (a) *0–20,000 Euros*, (b) *20,000–60,000 Euros*, (c) *60,000–100,000 Euros*, and (d) *More than 100,000 Euros*. The variable takes the value of one if the client answered (c) or (d). *Total Client Investment* is the total investment by the client on an average month, including in the funds and products that are not in the baseline data set. *Share of Investment in External Products* is the share invested by the client in the firm in products that are not internal funds and includes all clients in the sample. *Gross Wealth* is also based on the answers to MiFID II questionnaires. *Investment in Funds* in Panel B is the amount that the survey respondent invests in funds in all firms. *Year of Contract* is the year in which the advisor joined the firm. *Post-2010 Dummy* takes the value of one if the advisor joined the firm in 2010 or later. *Certified Dummy* takes the value of one if the advisor has acquired before December 2020 at least one of the approved financial advisor qualifications provided by the CISI (Chartered Institute for Securities and Investment) and EFPA (European Financial Planning Association). *Number of Clients* is the total number of clients of the advisor over the 2015 to 2020 period. *Annual Compensation* is the sum of the commissions received by the advisor, both from internal and from external funds. *Positive Investment Dummy* takes the value of one if the client invested in the fund during that month. *Investment* is the amount invested in the fund in that month. *Share of Total Investment* is the share of the client's total portfolio that is invested in the fund in that month. *Net Investment Inflow* is the net value of all trades undertaken by the client on the fund in that month. *Trailer Fee* is computed as the fund's percentage fee (which is fixed both over time and across clients) multiplied by the commission, that is, the percentage that the advisor receives (which varies within advisor-fund in January 2018).

	Mean	*SD*	p10	p25	p50	p75	p90	NonMiss
Panel A: Clients ($N = 6,132$)								
Male	0.66	0.47	0	0	1	1	1	1
Year of Birth	1963	17	1942	1950	1963	1974	1986	0.9
Financial Education Dummy	0.19	0.4	0	0	0	0	1	0.5

(*Continued*)

Table I, part 1: client characteristics.

Table I—*Continued*

	Mean	*SD*	p10	p25	p50	p75	p90	NonMiss
Panel A: Clients ($N = 6,132$)								
Financial Profession Dummy	0.09	0.29	0	0	0	0	0	0.51
Financial Knowledge Dummy	0.35	0.48	0	0	0	1	1	0.48
High Income Dummy	0.1	0.31	0	0	0	0	1	0.66
Year of Joining Firm	2007	30	1996	2000	2010	2014	2017	1
Total Investment in Firm	102,062	514,798	2,886	10,093	31,315	86,794	201,247	1
Gross Wealth	504,605	843,585	24,900	105,000	260,000	500,000	1,000,000	0.51
Total Investment/Gross Wealth	0.31	0.3	0.029	0.078	0.19	0.42	0.91	0.51
Total Investment/Predicted Financial Wealth	0.67	0.35	0.13	0.33	0.78	1	1	0.51
Share Invested in External Products	0.24	0.29	0	0	0.092	0.46	0.7	1
Panel B: EFF Fund Investors ($N = 1,074$)								
Wealth	809,376	4,963,913	158,036	271,930	446,000	810,095	1,427,763	1
Investment in Funds	77,372	577,435	4,000	10,000	28,000	70,000	174,000	1
Investment in Funds/Gross Wealth	0.11	0.12	0.011	0.028	0.068	0.13	0.27	1
Panel C: Advisors ($N = 166$)								
Year of Contract	2007	8	1993	2000	2010	2013	2015	1
Post-2010 Dummy	0.54	0.5	0	0	1	1	1	1
Certified Dummy	0.3	0.46	0	0	0	1	1	1
Number of Clients	41	57	2	7	17	53	116	1
Annual Compensation	39,227	43,737	1,362	6,799	22,893	60,352	102,398	1
Panel D: Client-Fund-Month ($N = 3,637,984$)								
Positive Investment Dummy	0.19	0.39	0	0	0	0	1	1

(*Continued*)

Table I, part 2: wealth, advisors, and EFF comparison.

Table I—*Continued*

	Mean	*SD*	p10	p25	p50	p75	p90	NonMiss
Panel D: Client-Fund-Month ($N = 3,637,984$)								
Investment	3,978	24,716	0	0	0	0	7,472	1
Share of Total Investment	0.06	0.19	0	0	0	0	0.21	1
Net Investment Inflow	5	4,884	0	0	0	0	0	1
Trailer Fee	0.97	0.26	0.63	0.75	1	1.13	1.13	1

Table I, part 3: client-fund-month observations.

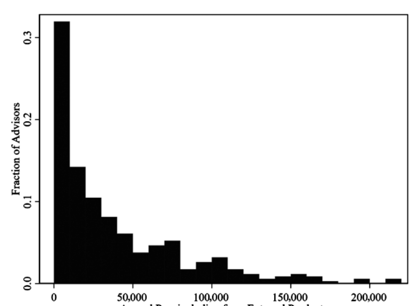

Figure 1: distribution of advisor annual pay.

5.2 Table II: example of variation in trailer fees

Read:

- Table II illustrates how trailer fees are generated by multiplying fund fees by advisor commissions.
- Pre-2010 advisors had fund-specific commission schedules before the policy change.
- Post-2010 advisors had a simpler, constant-across-funds commission before 2018.
- After 2018, commissions become standardized, but trailer fees still differ across funds because funds have different management fees.

Interpretation: This table is the institutional foundation of the identification strategy. The policy shock does not merely lower or raise all advisor pay uniformly. It changes the relative payoff to recommending different funds, and these relative changes differ across advisors depending on their historical contracts.

Economic message: The table explains why MiFID II generates usable within-advisor-fund variation. A client may see no direct change in fund menu or fund fundamentals, while the advisor's financial incentive to recommend a given fund changes substantially.

What not to over-read: Table II is a stylized example rather than the full empirical distribution. The estimates rely on all observed advisor-fund changes, not only the illustrative values shown in the table.

Table II

Example of Variation in Trailer Fees

This table illustrates the sources of variation in trailer fees. Advisors joining before 2010 were offered a contract with different commissions across funds. As an example, the table displays commissions of 70% and 45% for Funds A and B, respectively. Assuming respective percentage fees of 1% and 2%, this translates into trailer fees of 0.7% and 0.9%. Advisors joining after 2010 were offered a contract with the same commission across funds, such as the displayed 50%. This translates into trailer fees of 0.5% and 1% for Funds A and B. In 2018, the pre-2010 advisors were given the same contract as the post-2010 advisors.

			Pre-2010		2010 to 2018		Post-2018	
		Fee %	Commission	Trailer Fee	Commission	Trailer Fee	Commission	Trailer Fee
Pre-2010	Fund A	1%	70%	0.7%	70%	0.7%	50%	0.5%
Advisors	Fund B	2%	45%	0.9%	45%	0.9%	50%	1%
Post-2010	Fund A	1%			50%	0.5%	50%	0.5%
Advisors	Fund B	2%			50%	1%	50%	1%

Table III

Effect of Trailer Fees on Investment: Existing Clients

This table displays estimates of regressions of clients' fund investments on the trailer fees that the clients' advisors receive when the clients invest in these funds. The estimating equation is

$$Investment_{cjt} = \lambda LogTrailerFee_{a(c)jt} + \eta_{ct} + \kappa_{jt} + \mu_{cj} + \epsilon_{cjt}.$$

The subscripts are a for advisor, c for client, j for fund, and t for month. The unit of observation is a client-fund-month combination. *Trailer Fee* is computed as the fund's percentage fee (which is fixed both over time and across clients) multiplied by the commission, that is, the percentage that the advisor receives (which varies within advisor-fund in January 2018). In (1), the dependent variable is the inverse hyperbolic sine transformation of the client investment in the fund in that month. In (2), the dependent variable is an indicator for whether the client invests a positive amount in the fund in that month. In (3), the dependent variable is the share of the total client's portfolio invested in the fund in that month. In (7), the dependent variable is the inverse hyperbolic sine transformation of the net value of all trades undertaken by the client in the fund in that month. In (4), (5), and (6), the dependent variables are the inverse hyperbolic sine transformation of the net value of all trades undertaken by the client on the fund in that month conditional on these trades occurring on days in which there were only incoming flows, only outgoing flows, or both types of trades, respectively. The bottom rows provide tests of the pretrends assumptions in the dynamic effects regressions from Figures 2 and 3. We provide the F-statistic and p-value of the null hypothesis that $\pi_2 = \pi_3 = \ldots = \pi_{11} = 0$. Following Borusyak, Jaravel, and Spiess (2024), we run these tests using only the observations prior to the shock whose effect we analyze. The estimating equation is

$$Investment_{cfq} = \sum_{q=2\ldots11} \pi_q (SHOCK_{a(c)f} \times Quarter_q) + \eta_{cq} + \kappa_{fq} + \mu_{cf} + \epsilon_{cfq},$$

where $SHOCK_{a(c)f} = LogPost18TrailerFee_f - LogPre18TrailerFee_{a(c)f}$. Standard errors are clustered at the advisor level. The number of observations in the regressions is 3,636,276. The number of clients is 6,132. The number of advisors is 166. Asterisks denote significance levels (*10%, **5%, and ***1%).

	Investment Stocks			Investment Flows			
	ihst Investment (1)	Positive Investment (2)	Share of Total (3)	ihst Incoming (4)	ihst Outgoing (5)	ihst Reallocation (6)	ihst Net Inflow (7)
Log Trailer Fee	0.463**	0.041**	0.022***	0.115***	0.022	−0.01	0.13***
	(0.2)	(0.02)	(0.009)	(0.036)	(0.019)	(0.008)	(0.047)
Client-Fund F.E.	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Client-Month F.E.	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Fund-Month F.E.	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Pretrends Analysis: Dynamic Effects from Figures 2 and 3							
F-statistic	0.23	1.36	1.43	1.08	1.37	1.18	1
p-Value	0.99	0.2	0.17	0.38	0.2	0.31	0.44

5.3 Table III, Figure 2, and Figure 3: effects on existing clients

Read:

- Table III reports the main existing-client DiDiD estimates.
- A one-log-point increase in trailer fee raises investment stock by 0.463 in inverse-hyperbolic-sine units.
- Interpreted as an elasticity, a 10% increase in trailer fees raises the investment stock in that fund by about 4.6%.
- The effect is also positive for the probability of holding the fund and for the share of total investment allocated to the fund.
- The flow results show a strong effect on incoming flows, but little effect on outgoing flows or reallocations.
- The pretrend tests reported in the table do not reject flat pretrends.
- Figure 2 shows dynamic effects for stock outcomes; Figure 3 shows dynamic effects for flow outcomes.

Interpretation: The table and figures jointly establish the main mechanism. Existing clients respond to advisor incentives, but mostly when new money arrives. Advisors appear to channel incoming capital toward funds that now pay them more. They do not seem equally able to unwind established positions and reallocate old capital across the fund menu.

Economic message: Advisor incentives matter, but the elasticity is state-dependent. Advice is strongest at moments of active decision-making: adding money, constructing an initial portfolio, or choosing where new inflows go.

What not to over-read: The existing-client elasticity is not a universal elasticity for all advisor-client interactions. It is estimated for a particular advisory firm, a particular policy shock, and a period around MiFID II. The larger new-client effects below show that the elasticity depends heavily on the decision margin.

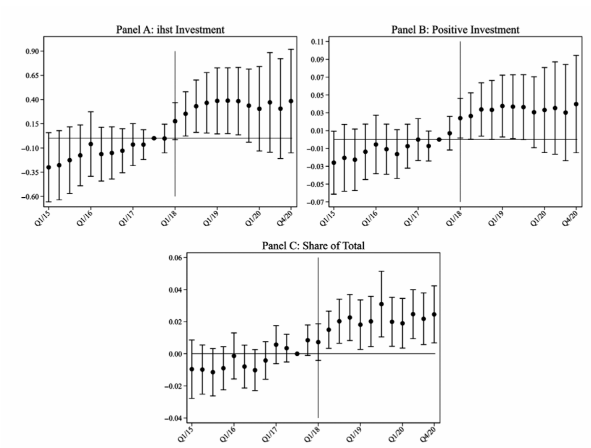

Figure 2: dynamic effects on investment stocks.

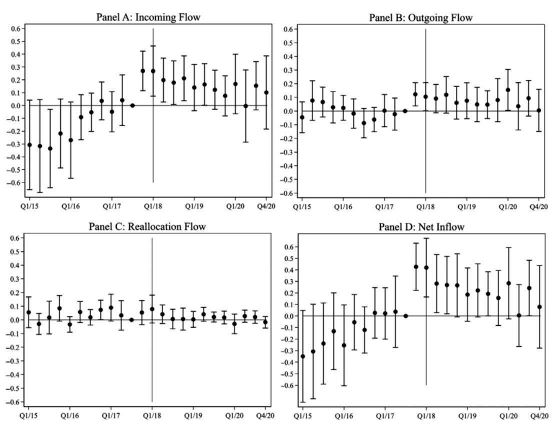

Figure 3: dynamic effects on investment flows.

5.4 Table IV: new clients and initial portfolio construction

Read:

- Table IV studies the first-quarter investments of clients entering the firm.
- The coefficient on log trailer fee is 1.493 in Panel A and 1.472 after adding client-characteristics-by-fund fixed effects in Panel B.
- This implies an elasticity around 149%, much larger than the existing-client elasticity.
- The positive-investment and portfolio-share outcomes also respond strongly.
- The results barely change when client characteristics are interacted with fund fixed effects.

Interpretation: New clients are the cleanest setting for advisor influence because there is no inherited portfolio to preserve. The advisor can recommend the initial allocation across funds, and the client may have limited prior information about the firm-specific fund menu. The large elasticity indicates that compensation incentives strongly shape this first portfolio.

Economic message: The policy implication is that regulations on advisor compensation are most consequential at the entry margin. Markets with high client turnover or frequent advisor-client matching will likely show larger aggregate effects from incentive reforms.

What not to over-read: The large new-client elasticity should not be interpreted as evidence that clients are passive or irrational. It shows that, when clients seek advice at entry, advisor incentives have strong influence over the recommended allocation.

Table IV

Effect of Trailer Fees on the Initial Investment of New Clients

This table displays estimates of regressions of clients' fund investments (in the first quarter in which the clients join the firm) on the trailer fees that the clients' advisors receive when the clients invest in these funds. The estimating equation in Panel A is

$$Investment_{cj} = \phi TrailerFee_{a(c)jt(c)} + \beta_c + \kappa_{jt(c)} + \iota_{a(c)j} + \omega_{cj}.$$

The subscripts are a for advisor, c for client, j for fund, and t for month. The unit of observation is a client-fund combination. The sample is restricted to include only clients joining the firm after January 2015. The sample further includes only the first quarter of these clients. *Trailer Fee* is the fund's percentage fee (which is fixed both over time and across clients) multiplied by the commission, that is, the percentage that the advisor receives (which varies within advisor-fund in January 2018). In column (1), the dependent variable is the inverse hyperbolic sine transformation for the client investment in the fund in that quarter. In column (2), the dependent variable is an indicator for whether the client invests a positive amount in the fund in that quarter. In column (3), the dependent variable is the share of the total client's portfolio invested by the client in the fund in that quarter. The equation in Panel A includes advisor-fund, client, and fund-quarter indicators. The equation in Panel B further includes interactions between the fund indicators and the following client characteristics: gender, age, a financial education dummy, a financial profession dummy, a financial knowledge dummy, and a high-income dummy. The regression includes interactions with indicators capturing whether the client characteristics above are missing. Standard errors are clustered at the advisor level. The number of observations in the regressions is 36,414. The number of clients is 2,730. The number of advisors is 144. Asterisks denote significance levels (*10%, **5%, and ***1%).

	ihst Investment (1)	Positive Investment (2)	Share of Total (3)
Panel A: Without Client Characteristics × Fund Fixed Effects			
Log Trailer Fee	1.493***	0.105***	0.056***
	(0.526)	(0.040)	(0.023)
Advisor-Fund Fixed Effects	Yes	Yes	Yes
Client Fixed Effects	Yes	Yes	Yes
Fund-Month Fixed Effects	Yes	Yes	Yes
Client Characteristics × Fund F.E.	No	No	No
Panel B: With Client Characteristics × Fund Fixed Effects			
Log Trailer Fee	1.472***	0.103***	0.057***
	(0.507)	(0.039)	(0.023)
Advisor-Fund Fixed Effects	Yes	Yes	Yes
Client Fixed Effects	Yes	Yes	Yes
Fund-Month Fixed Effects	Yes	Yes	Yes
Client Characteristics × Fund F.E.	Yes	Yes	Yes

Table IV: effect of trailer fees on the initial investment of new clients.

5.5 Table V and Figure 4: advisor-level shocks and inflows from existing clients

Read:

- Table V shifts from fund-level allocations to total inflows from existing clients.
- The key variable is the advisor-level standard deviation of the 2018 trailer-fee changes across funds.
- A higher standard deviation of fee changes is associated with larger total net inflows and larger total incoming flows.
- The average fee increase is negative in several specifications, consistent with a possible income or quiet-life effect.
- Figure 4 visualizes the variation in average fee changes and dispersion of fee changes across advisors.

Interpretation: The dispersion result indicates that advisors respond when the policy reshuffles their relative incentives across funds. If a policy creates newly attractive funds, advisors have a reason to encourage clients to bring new cash that can be placed in those funds.

Economic message: Advisor incentives affect both allocation within a portfolio and the total amount of money flowing into the firm. This is important because compensation changes can alter market size, not just market shares across products.

What not to over-read: A positive relation between incentive dispersion and inflows does not prove that all new inflows are bad for clients. The later Sharpe-ratio evidence suggests that the post-2018 incentive structure may have improved portfolio efficiency, even while advisors still respond to pay incentives.

Table V

Effect of the Shock to the Advisor's Overall Compensation on the Total Inflows of Existing Clients

This table displays estimates of regressions of clients' *total* investment inflows on characteristics of the changes in their advisors' trailer fees in January 2018. The first independent variable is the *average* (simple average over all the sample funds) increase in the trailer fee experienced by the advisor in January 2018. The second independent variable is the standard deviation (taken over all the sample funds) of the change in the trailer fee experienced by the advisor in January 2018. Both independent variables are interacted with the post-January 2018 dummy. The estimating equation in columns (3) and (6) is

$$Investment_{ct} = \phi(Increase_{a(c)} \times Post_t) + \pi(SD_{a(c)} \times Post_t) + \beta_c + \kappa_t + \omega_{ct}.$$

The subscripts are a for advisor, c for client, and t for month. The unit of observation is a client-month combination. In columns (1) to (3), the dependent variable is the inverse hyperbolic sine transformation of the net value of all trades undertaken by the client in that month, aggregated over all the funds. In columns (4) to (6), the dependent variable is the inverse hyperbolic sine transformation of the net value of all trades undertaken by the client in that month conditional on these trades occurring on days in which there were only incoming flows. The regressions include client fixed effects and month fixed effects. Standard errors are clustered at the advisor level. $N = 239{,}275$; Clients = 1,727; Advisors = 164. Asterisks denote significance levels (*10%, **5%, and ***1%).

	ihst Total Net Inflow			ihst Total Incoming		
	(1)	(2)	(3)	(4)	(5)	(6)
Average Fee Increase × Post	−0.705***		−0.391*	−0.613***		−0.355**
	(0.25)		(0.22)	(0.185)		(0.178)
S.D. Fee Change × Post		1.565***	1.086*		1.326***	0.891**
		(0.575)	(0.613)		(0.408)	(0.451)
Client Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes
Month Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes

Table V: total inflows of existing clients.

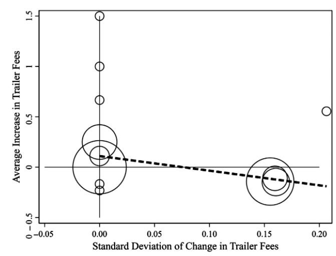

Figure 4: variation in advisor compensation shocks.

5.6 Table VI: advisor client entry, exit, and turnover

Read:

- Table VI studies advisor-month outcomes: incoming clients, departing clients, and total turnover.
- The standard deviation of fee changes is positively related to incoming clients.
- In the combined specification, SD Fee Change × Post is 0.097 for incoming-client share.
- The same variable is not meaningfully related to departing clients.
- It is positively related to total turnover, driven by entry rather than exit.

Interpretation: The client acquisition result reinforces the idea that advisors react to compensation shocks by exerting effort. When the policy makes the advisor's incentive schedule more uneven across funds, attracting new clients becomes valuable because new clients can be steered to newly high-incentive funds.

Economic message: Compensation incentives affect the extensive margin of advice. Advisors do not merely nudge current clients; they also change the effort devoted to expanding the client base.

What not to over-read: The table does not imply that advisors manipulate client turnover mechanically. The departure columns are weak, which suggests the main action is attracting new clients rather than pushing out old clients or causing churn for its own sake.

Table VI

Effect of the Shock to the Advisor's Overall Compensation on the Entry and Exit of Clients in the Advisor's Portfolio

This table displays estimates of regressions of advisors' portfolio of clients on characteristics of the changes in their trailer fees in January 2018. The first independent variable is the *average* (simple average over all the sample funds) increase in the trailer fee experienced by the advisor in January 2018. The second independent variable is the standard deviation (taken over all the sample funds) of the change in the trailer fee experienced by the advisor in January 2018. Both independent variables are interacted with the post-January 2018 dummy. The estimating equation in columns (3) and (6) is

$$Clients_{at} = \phi(Increase_a \times Post_t) + \pi(SD_a \times Post_t) + \beta_a + \kappa_t + \omega_{at}.$$

The subscripts are a for advisor and t for month. The unit of observation is an advisor-month combination. In columns (1) to (3) the dependent variable is the number of new clients who the advisor obtained in month t, divided by the total number of clients. In columns (4) to (6), the dependent variable is the number of clients who have left the advisor in month t, divided by the total number of clients. In columns (7) to (9), the dependent variable is the sum of new clients and departing clients in month t, divided by the total number of clients. The regressions include advisor fixed effects and month fixed effects. Standard errors are clustered at the advisor level. $N = 8{,}458$; Advisors = 166. Asterisks denote significance levels (*10%, **5%, and ***1%).

	Incoming Clients (Share)			Departing Clients (Share)			Client Turnover (Share)		
	(1)	(2)	(3)	(4)	(5)	(6)	(7)	(8)	(9)
Average Fee Increase × Post	−0.019		−0.005	−0.001		0.001	−0.020*		−0.003
	(0.012)		(0.010)	(0.011)		(0.012)	(0.010)		(0.010)
S.D. Fee Change × Post		0.104***	0.097***		0.013	0.015		0.117***	0.112***
		(0.028)	(0.031)		(0.031)	(0.034)		(0.037)	(0.040)
Advisor Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes
Month Fixed Effects	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes	Yes

Table VI: effect of advisor compensation shocks on entry and exit of clients.

5.7 Table VII and Figure 5: portfolio efficiency after the incentive change

Read:

- Table VII compares Sharpe ratios, fees, and concentration before and after the 2018 policy.
- New clients' internal-fund Sharpe ratio rises from 0.712 to 0.799.
- New clients' overall-portfolio Sharpe ratio rises from 0.499 to 0.601.
- New clients' average fund fee falls from 1.741% to 1.416%.
- New clients' Herfindahl index falls from 0.504 to 0.429, indicating more diversification.
- For existing clients, internal-fund Sharpe ratios do not meaningfully change, though overall portfolios improve modestly.
- Figure 5 relates changes in incentive dispersion to changes in Sharpe ratios, illustrating that more balanced incentives are associated with better portfolio efficiency.

Interpretation: The efficiency results show that not all advisor influence is welfare-reducing. The pre-2018 incentive structure appears to have pushed advice toward high-fee, concentrated allocations. After the policy made incentives more balanced, new clients paid lower fees and held more diversified portfolios, raising risk-adjusted performance.

Economic message: Better incentive design can improve outcomes without eliminating advice. This is the core regulatory message: reforming compensation contracts can preserve access to advisors while reducing product-bias distortions.

What not to over-read: The Sharpe-ratio exercise uses a common historical return and covariance matrix; it is not a realized-return experiment. It is best interpreted as evidence on portfolio construction quality rather than a guarantee of ex post performance.

Table VII

Effects on the Efficiency of Portfolios

This table displays Sharpe ratios for the portfolios of different groups of clients, both before and after the 2018 change in advisor incentives. Existing clients are defined as those who join the firm before June 2017 and remain with the firm after 2018. New clients in the pre-2018 period are defined as those who join the firm in the six months after June 2017. New clients in the post-2018 period are defined as those who join the firm in the six months after March 2018. The portfolios of existing clients are computed using their average holdings in the six months after June 2017 (for the preperiod) and after March 2018 (for the postperiod). The portfolios of new clients are computed using their average holdings in the three months after joining the firm. The Sharpe ratios are calculated using the same returns and variance-covariance matrix, regardless of the portfolio on which it is calculated. The returns and variance-covariance matrix are from the June 2013 to June 2017 period. Percentage fee is the fee paid by clients to the firm for the management of investments in internal funds. The Herfindahl index is based on clients' investments in internal funds. Portfolios are constructed at the advisor level.

	Pre-2018	Post-2018	Change	t-Statistic
Panel A: New Clients				
Sharpe Ratio (Internal Fund Portfolio)	0.712	0.799	0.086	2.56
Sharpe Ratio (Overall Portfolio)	0.499	0.601	0.102	1.99
Percentage Fee	1.741%	1.416%	−0.326%	−3.78
Herfindahl Index	0.504	0.429	−0.075	−1.82
Panel B: Existing Clients				
Sharpe Ratio (Internal Fund Portfolio)	0.684	0.684	−0.000	−0.02
Sharpe Ratio (Overall Portfolio)	0.501	0.561	0.060	1.54
Percentage Fee	1.648%	1.571%	−0.077%	−1.67
Herfindahl Index	0.264	0.275	0.011	0.49

Table VII: effects on portfolio efficiency.

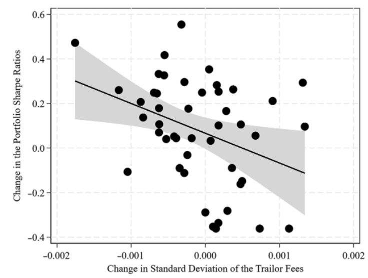

Figure 5: change in trailer fees and Sharpe ratios.

6 Short summary

- The paper studies how advisor compensation affects client mutual fund choices.
- The setting is a Spanish investment firm with detailed internal data on clients, funds, advisors, holdings, flows, and trailer fees.
- MiFID II induced a 2018 compensation-policy change that equalized commissions but left trailer fees varying with fund management fees.
- The existing-client DiDiD design uses client-month, fund-month, and client-fund fixed effects.
- A 10% increase in trailer fees raises existing clients' investment stock in that fund by about 4.6%.
- Flow evidence shows that the response comes mainly through incoming money, not through withdrawals or reallocations of existing positions.
- New clients respond much more strongly, with an initial-allocation elasticity around 149%.
- Advisors facing larger incentive dispersion induce larger inflows from existing clients and attract more new clients.
- Portfolio efficiency improves after the policy, especially for new clients.
- New clients pay lower fees, hold more diversified portfolios, and have higher Sharpe ratios after the 2018 reform.
- The paper provides direct micro evidence that advisor incentives matter and that compensation regulation can improve investment outcomes.

7 Expanded conclusion

7.1 Core conclusion

Battiston, Blanes i Vidal, Hortala-Vallve, and Lou show that financial advisors' compensation contracts have large and measurable effects on client investments. The paper's unique contribution is to observe the advisor's actual trailer fee for each fund and connect that incentive to the client's fund-level holdings and flows. The 2018 MiFID II-induced compensation change provides plausibly exogenous variation in those incentives.

7.2 Economic intuition

The central mechanism is simple. Advisors are paid more when their clients hold particular funds. When the relative compensation from a fund rises, the advisor has stronger incentives to recommend that fund. Clients respond most when the recommendation occurs at a natural decision point: when new money enters the firm or when a new advisor-client relationship begins. Existing portfolios are stickier, so reallocating old money is harder than directing new money.

7.3 Why the new-client result is central

The new-client estimates clarify why advisor incentives can have large aggregate effects even if existing-client reallocations are modest. New clients are not moving a fixed portfolio from one fund to another; they are creating the portfolio. At that point, the advisor can frame the menu, recommend a risk profile, and select the initial allocation. The paper's 149% elasticity shows that compensation incentives are especially powerful at this stage.

7.4 Why the policy shock improved portfolio quality

The 2018 reform did not eliminate all conflicts of interest, but it made incentives more balanced. When advisors no longer had extremely strong reasons to emphasize a narrow set of high-fee funds, new clients ended up with portfolios that were cheaper and more diversified. Lower fees directly raise net returns. Lower Herfindahl concentration lowers idiosyncratic risk. Together, these channels raise Sharpe ratios.

7.5 Policy implications

The paper supports a middle-ground regulatory view. It does not imply that financial advisors are useless or that all commissions should always be banned. It shows that the way advisors are paid matters. Regulations that reduce product-level conflicts can improve advice while preserving advisor access. The strongest policy benefits are likely to arise in settings with frequent new client acquisition, high inflows, and strong variation in product commissions.

7.6 Broader contribution

The paper advances household finance and organizational economics by showing how a worker's incentive contract shapes client decisions in a real advisory relationship. It also contributes to the policy evaluation of MiFID II by documenting an actual behavioral response to the reform, rather than only comparing outcomes before and after regulation.

7.7 Important limitations

The evidence comes from one investment firm. The advisors may be part-time or may earn additional income outside the firm. The data do not fully track how clients adjust assets held at other institutions. The Sharpe-ratio analysis evaluates portfolios under a common historical return matrix rather than observing long-run realized utility. These limitations mean the exact magnitudes may not generalize universally, but they do not undermine the main lesson that incentives change advice and client investments.

7.8 Takeaway

The paper's enduring message is that advice is not neutral when advisors are paid differently across products. Clients are influenced by their advisors, and advisors respond to compensation. But better-designed incentives can make advice better rather than simply less biased. The most important margin is not only what advisors say to current clients, but what they recommend when clients bring new capital or enter a new advisory relationship.